share of textile and clothing in India's total exports stands at a significant 12%.

The sector is the biggest employer after agriculture employing 4.5 crore people directly and another 6 crore people in allied sectors. Apparel also plays a critical role in improving social dynamics as mostly women are employed in the sector.

Statement II: CORRECT—The textile supply chain is perhaps one of the most diverse in terms of the raw materials used, technologies deployed and products produced. However, the challenges lie in the absence of scale or fragmented and scattered manufacturing. Except for the spinning segment, all other sectors lack scale. While the ginning and spinning sectors are on par with international standards, marginal technological gap exists in weaving, processing and embroidery and larger gaps in knitting, technical textile and garmenting segments. In recent times, several developing countries, enjoying zero/preferential duty access to key markets, have become major competitors of India in the garments sector.

27. Statement I: CORRECT—In Economic literature, infrastructure is popular by the name "Overhead Capital" or "Social Overhead Capital". The famous economist A.O Hirschman stated that Social Overhead capital is the "basic services without which primary, secondary and tertiary productive activities cannot function".

The very success of social and economic transformation of an economy lies in providing inclusive and sustainable infrastructure amenities to the people and the pace of economic growth depends on how competently and judiciously an economy is able to address its infrastructure bottlenecks.

Statement II: CORRECT—The role of infrastructure development in economic growth has been well recognised in the literature. The correlation between infrastructure investment and economic growth for India is very high.

The correlation of investments in inland, road, rail and airport infrastructure to GDP are higher than 0.90 indicating that there exists a strong correlation between GDP and investment in infrastructure. This further reiterates the fact that massive